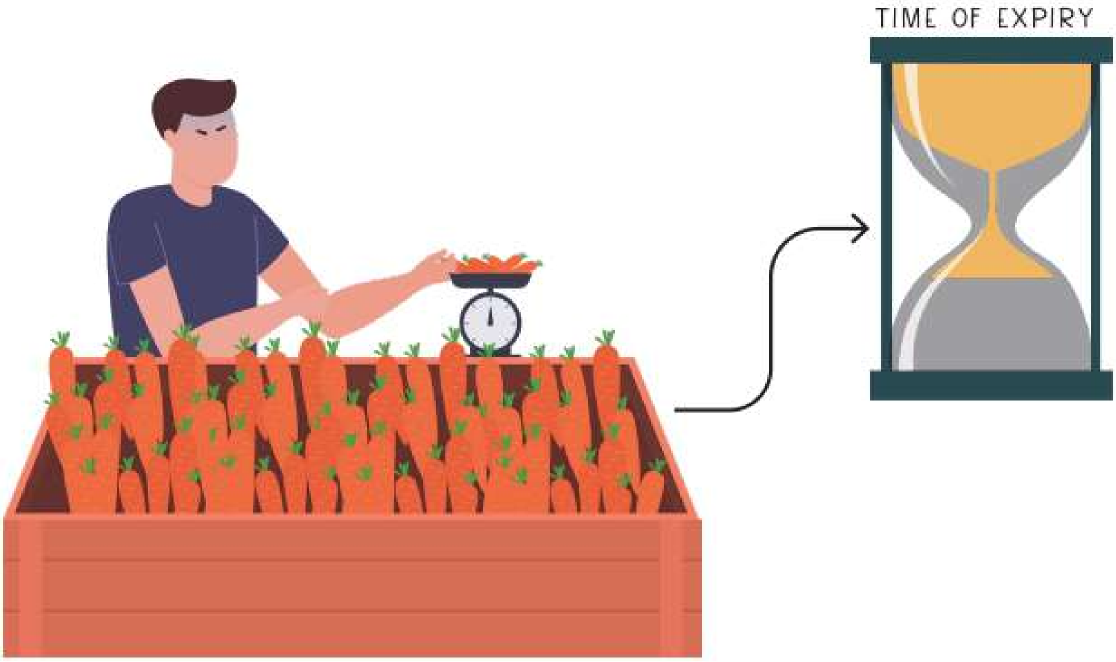
TIME OR EXPIRY OF THE OPTION

As the time to expiry of the option contract increases, the risk for the option seller also increases. It allows more time for the underlying asset and cause larger losses to the seller. As a result,as the risk increases so does the price or the premium of the option.



Similarly, as the time to expiry decreases, the seller is willing to sell at a lower rate. This is because he chances of them making a loss goes down. Also, the chances of the market price making a 250 points (say) movement in 3 days are relatively low in comparison to 3 weeks' time.